BITS SCHOOL OF MANAGEMENT
Term 5, Block 29, 2025 - 26
Course Outline

Course Title: Pricing and Revenue Optimization

Faculty: Prof Andy Gershoff

Dates: December 1st to 14th, 2025

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Office Hours: By prior appointment only

Course Description:

This course will teach you important fundamentals of pricing and so much more.
Prior BITSoM students have said that this course is very useful for preparing for placement interviews, building their quantitative skills, and practicing applications for strategic thinking.

Topics covered include:

- How pricing is built into the business strategy
- How to consider and calculate the value of offerings to set price
- How firms can collect data and measure consumers' willingness to pay
- How to apply strategic pricing tools to optimize profit
- We will look at setting prices for
    - Individual products
    - Complementary products (ex. coffee makers and coffee, X-Box and video games, etc.)
    - Substitute products (ex. good, better, best versions of products)
- We will look at tools to maximize profit including
    - Setting volume discounts
    - Pricing product bundles
    - Non-linear pricing (two part-prices)
    - Pricing for promotions
- We will also consider how to set prices
    - in the face of competition
    - when selling through a distributor
    - when bidding for customers in business to business settings

Along the way we will use simulations, case studies, class competitions, and many challenging but fun exercises that will help you learn and hone your skills.

Course Overview

This course is designed to provide fundamental understanding of pricing as a strategic lever in marketing decisions along with tools, concepts, and frameworks for thinking about how to create pricing strategy and set prices to meet long-term firm goals. Of all of the marketing mix variables (product, place, promotion, price), pricing has the potential to have the most impact on firm profit, yet it is commonly the least understood, and often left as an afterthought to overall marketing strategy. We will explore the factors that affect pricing decisions, methods commonly used for setting prices, frameworks for understanding how consumers think about prices, and tools to collect information about how consumers think about and react to prices. Then we'll set to work looking at how to set optimal pricing strategies with the recognition that consumers are heterogeneous. So, we'll consider overall pricing strategies that best deliver firm value when appealing to different market segments. We'll also look at how to think about price setting in business to business relationships, and how to use price effectively for promotions.

Since this is a course for MBA students, we'll take a strategic approach and rely on a number of case studies to highlight important pricing issues as they appear in real life; as they are integrated into other marketing management decisions including targeting, products, promotion, and distribution. But we'll also dig deeper, using exercises and examples to think about pricing decisions.

Learning Goals

i) Critical and Integrative Thinking: Each student should be able to identify key issues in a business setting, develop a perspective that is supported with relevant information and integrative thinking, to draw and assess conclusions. Assessment Method: Class-participation, case write ups, and homework assignment, Exam

ii) Interpersonal Awareness and Working in Teams: Each student shall demonstrate an ability to work effectively in a team, exhibiting behavior that reflects an understanding of the importance of individual roles and tasks and the ability to manage conflict and compromise so that team goals are achieved. Assessment: Team new technology assignment and presentation.

iii) Ethical Responsibility: Each student shall be able to identify ethical and fairness issues, understand the impact of a particular issue on various stakeholders, recognize the rights and responsibilities of the stakeholders, and systematically analyze the pros and cons of any decision related to the ethical issue. Assessment: Taking the Honor pledge for the exams and assignments, homework assignment.

Class Format and Preparation

The class sessions will be a mix of case discussions, lectures, and in-class exercises. You will gain the most if you come prepared for class and actively participate in discussions and exercises.

Cases are meant to be examples of real-world business situations, and through our analysis, we are able to learn about key ideas and concepts and think about how we might apply the same learnings in other situations. Although you personally may not face the exact same circumstances, or work in the same industries, the goal of the case is to think about how you would find a path forward if you were in that situation. Consider both the richness of the information provided about the firm, its circumstances, and the problems it faces, and also learn to work with the ambiguity of not having all of the information you may need to answer with complete certainty. There is still an enormous advantage when going from "I have no idea" to "I think this is likely a best solution, and these important factors may influence whether this is true."

The case questions will help you think about the case in some detail prior to coming together with your fellow students. MBA programs work best when students learn from each other. The connections you make, the examples you bring, and the insights you have are important to all of us. So, your preparation and participation is a key part of the success of the class, the overall program, and the success of your classmates.

In class exercises are meant to illustrate concepts that we may apply elsewhere. They are usually full of assumptions that may be somewhat unrealistic, and they are intentionally isolated from real world factors that we discuss in the cases.

Class Policies

1. I expect all of you to treat this class as you would treat any other professional responsibility.
2. If you plan to leave class before the end of the session, please inform me.
3. Do not engage in personal conversations during class.
4. Pay attention in class and take notes. Do not use class time to complete (or copy) homework or to complete work for another class.
5. Use of laptops is encouraged for class-related use. Please refrain from using your machines for non-class related activities like email, surfing etc. during class time.

Assessment: Maximum Marks 100

1. Quizzes [15%]
2. Homework assignment [10%]
3. Class Participation [10%]
4. Team Assignment [20%]
5. Exam [45%]

Quizzes [15%]
There are three quizzes during the course – each is worth 5 points. Quizzes are meant to be fairly easy for those who have done the reading for the class session and studied their notes from the prior class. The quizzes are meant to give a small incentive for students to stay prepared and study their notes throughout the course, so everyone is ready to participate in our collective learning.

Homework assignment [10%]
There will be a homework assignment during the first week first week that will be due before the start of the penultimate class. This assignment must be done on your own, and without communication with others. Late assignments will be docked by 10% with an additional 10% for every day the assignment is delayed.

Class Participation [10%]
I would appreciate your thoughtful participation during the lectures through comments, questions and perspectives. We will try to create an engaging atmosphere in the classroom that would deepen our understanding of the material covered in the class. To get the credit for this part, you will need to raise your hand and speak up!

Team Assignment [20%]
You will work with your study group during the course to complete an open-ended assignment. The goal will be to get you to think of key points in the course and to apply them to real world business situations. More details will be provided as we move through the course.
(Group size of 5. Students get to pick their groups.)

Exam [45%]
There will be one exam at the end of the course. More details about the exam will be provided closer to the exam date.

POLICY:

Class Policies

We will start classes on time.

If you are late, the instructor has the choice of not allowing you to attend or creating creative punishments for tardiness.

Attendance Policy

The attendance policy as laid out by the Programme Office applies. Please refer to your student handbook for details.

Honour Code

BITSoM takes the honour code seriously, and so should you. The student handbook contains details on the honour code policy at BITSoM. You are expected to abide by an honour code and follow a culture of honesty. Please ensure that you read the relevant section(s) in the handbook. Feel free to ask us in case you have any questions.

Coding scheme for all course work:

Code	Nature of Course work Discussion		Nature of Reference Material	
	General Discussions	Specific Discussions	External Material	Case/Problem Solutions
AC-I	Not Allowed	Not Allowed	Not Allowed	Not Allowed
AC-IIa	Allowed	Not Allowed	Not Allowed	Not Allowed
AC-IIb	Not Allowed	Not Allowed	Allowed	Not Allowed
AC-IIIa	Allowed	Allowed	Not Allowed	Not Allowed
AC-IIIb	Allowed	Not Allowed	Allowed	Not Allowed
AC-IIIc	Not Allowed	Not Allowed	Allowed	Allowed
AC-IV	Allowed	Allowed	Allowed	Not Allowed
AC-V	Allowed	Allowed	Allowed	Allowed

Component	Honor Code
Quizzes	AC-I
Homework assignment	AC-IIb
Class Participation	AC-V
Team Assignment	AC-IIb
Exam	AC-I

Session Schedule

Session	Topic	Prepare prior to class
Session 1	**Pricing Strategy Framework:** We'll start the course with an online pricing simulation. Next, we'll use what we've learned to discuss the factors that must be considered in setting prices. We'll also look at why getting pricing right is so important to the business, and some common price setting methods.	• Complete the pre-class online pricing survey here: https://bit.ly/3DSsUMV • Read: Pricing Strategy
Session 2	**Economic Value to the Customer:** In this session we will look at a new to the world service. We'll discuss an important cornerstone of pricing, economic value to the customer (EVC). From there we'll review EVC calculations. Then we'll examine how EVC perceived value, and the firms costs each play a role in pricing decisions.	• Read and be ready to discuss: Polyphonic HMI: Mixing Music and Math • **Prepare for Quiz 1** • Optional Reading: N&H Chapter 3
Session 3	**Measuring Willingness to Pay and Optimal Pricing:** In this session we'll discuss methods to measure willingness to pay. We'll give special attention first to survey methods, and then we'll focus on how we may use conjoint analysis, as we consider how gather information and use it to set prices for products.	• Read: Conjoint Analysis: A Do It Yourself Guide • Optional Reading: N&H Chapter 13
Session 4	**Heterogeneity and Segmented Pricing:** In this session we'll start by discussing the **Altius Golf and the Fighter Brand** case. We'll consider how consumers differ in their price sensitivity and begin looking at methods for price discrimination which allow the firm to increase profits, react to competition, and offer consumer access to a firms' products.	• Read: Altius Golf and the Fighter Brand • Read: The Good, Better, Best Approach to Pricing **Prepare for Quiz 2**
Session 5	**More on Segmented Pricing and Pricing the Product Line:** In this session we will consider a variety of pricing exercises where the firm must consider how to optimize profits when they sell more than one product and consumers demand for one product may be influenced by the availability and price of other products that the firm sells	

Session 6	**<u>Non-linear Pricing and Bundling</u>:** In this session we will consider non-linear pricing structures. These are useful for situations where the same consumers are purchasing multiple products but have a diminishing value for each additional unit they purchase. Next, we'll consider product bundling or selling multiple products for a single price. Both of these methods create pricing structures that allow firms to capture more profit from consumers with heterogenous willingness to pay.	• Read: How to Reap Higher Profits with Dynamic Pricing • Read: Technical Note on Bundling
Session 7	**<u>Price as a Promotional Tool</u>:** In this session we'll consider when and how to use price promotions as a way to increase profits, and methods for evaluating the effectiveness of this tool. We'll tackle the Culinarian Cookware case, where we must think strategically about whether a price promotion is likely to be effective. Then we'll run some analysis of our own on a data set to determine the effectiveness and potential profitability of a price promotion.	• Read: Culinarian Cookware Case • Read: Three Faces of Consumer Promotions • **Prepare for Quiz 3**
Session 8	**<u>Pricing and Competition in Business to Business Relationships</u>:** In this session we'll consider pricing in a changing business to business environment. We'll consider some issues related to price setting in the face of competitive response, and we'll look at some methods of how to set bidding amounts in business to business situations, and finally how to set prices to optimize profit when selling to wholesalers or retailers.	
Session 9	**<u>Understanding Pricing Psychology and Wrap-Up</u>:** In this session we'll highlight the importance of consumer psychology in response to prices. Next, we'll consider the role of psychology in pricing and factors that influence perceptions of price fairness. We'll also use this session to cover any material that remains in the course, and review all we have learned.	• Read: Consumer Behavior Aspects of Pricing • **Submit: Conjoint Pricing Assignment**
Session 10	**<u>Student Presentations</u>**: In our last class session, we'll turn the tables and hear from you and your classmates. You will make presentations for pricing strategies for new products, or benefits, stemming from new technologies.	• **Prepare: Student Team Project and Presentation** • **Submit: Student Team Project Slide Deck**
	Final Exam	